AUSTRALIAN COMPETITION & CONSUMER COMMISSION

IAG – RAC Insurance

MN-65005

Public Benefit Assessment – Summary

10 November 2026

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1. Introduction

1.1. On 13 October 2026, Insurance Australia Group Limited (**IAG**) lodged a public benefit application in respect of IAG's proposal to acquire 100% of the issued share capital in RAC Insurance (RACI) from RACI Pty Ltd, a wholly owned subsidiary of the Royal Automobile Club of Western Australia Inc (**RAC**) (the **Acquisition**) with the Australian Competition and Consumer Commission (**ACCC**).

1.2. The public benefit application was lodged after the ACCC determined, on 22 September 2026, that the Acquisition must not be put into effect.

1.3. On 10 November 2026, the ACCC issued a Public Benefit Assessment (**PBA**) to IAG. This is a summary of the PBA.

2. Background

Acquisition

2.1. IAG proposes to acquire 100% of the issued share capital in RACI from RACI Pty Ltd, a wholly owned subsidiary of RAC, pursuant to a share sale deed dated 15 May 2025.

2.2. Upon completion of the Acquisition, it is proposed that RACWA Holdings Pty Ltd (**RACWAH**), a wholly owned subsidiary of RAC, and RACI (which would be owned by IAG), will enter into an exclusive 20-year distribution alliance and brand licensing agreement, under which RACWAH will continue as distributor of the general insurance products issued by RACI to RAC members in Western Australia under the RAC brand (**Distribution Agreement**). The Acquisition would result in IAG underwriting motor vehicle insurance and home and contents insurance under the RAC brand.

2.3. The Acquisition does not include RAC's roadside assistance business which will continue to be operated independently by RAC.

2.4. IAG's stated rationale for the Acquisition is that it is an opportunity for it to bring increased resilience and sustainability to the general insurance offering of RAC and greater access to global capital to RACI. IAG also submits it will create a more balanced national presence in IAG's personal lines general insurance business.[1]

2.5. On 18 June 2025, IAG sought informal clearance from the ACCC to acquire RACI from RAC. On 11 December 2025, the ACCC announced it opposed the Acquisition.

2.6. Following the ACCC's opposition, the Parties elected to notify the Acquisition under the new formal merger regime, with an effective notification date of 3 March 2026 (**Competitive Assessment**).

[1] IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 19-20, para. 67(a)-(b).

2.7. On 22 September 2026, the ACCC determined that the Acquisition must not be put into effect and released a Statement of Reasons outlining its assessment (**Statement of Reasons**). A public version of the ACCC's Statement of Reasons for the decision is available on the ACCC's acquisitions register for this Acquisition (see **Insurance Australia Group – RAC Insurance | ACCC**).

2.8. Following the ACCC's determination, on 1 October 2026, IAG filed an application for merits review of the decision by the Australian Competition Tribunal (**Tribunal**). On 5 October 2026, RACWAH filed an application for merits review of the decision by the Tribunal.

2.9. On 13 October 2026, IAG lodged a public benefit application in respect of the Acquisition. The Tribunal proceedings are stayed while the ACCC considers the Parties' public benefit application.

The acquirer – IAG

2.10. IAG is an ASX-listed (ASX: IAG) general insurance company operating in Australia and New Zealand.

2.11. IAG provides a range of personal and commercial insurance products in Australia directly under its owned brands, including NRMA, Swann Insurance, ROLLiN', Cylo and Lumley Special Vehicles. Through its joint venture business, Insurance Manufacturers of Australia Pty Limited, IAG provides personal lines insurance in Victoria distributed by its joint venture partner RACV.

2.12. In addition, IAG provides intermediated insurance under the CGU and WFI brands. IAG also underwrites insurance products distributed by financial institutions, including Bendigo and Adelaide Bank, People's Choice Bank and, since 2023, ANZ Bank.

2.13. On 22 May 2025, the ACCC decided not to oppose IAG's acquisition of RACQ Insurance Limited (RACQ) from The Royal Automobile Club of Queensland Limited. Following that acquisition, RACQ distributes general insurance products underwritten by IAG.

The target – RACI

2.14. RAC is a Western Australian based member-owned mutual association (and, effective from 26 June 2026, a company limited by guarantee) that provides roadside assistance, general insurance products, and other ancillary services to its members.

2.15. RACI underwrites motor vehicle insurance and home and contents insurance for RAC.

2.16. RAC also distributes other personal lines general insurance (travel, health, life and pet insurance) underwritten by other third party insurers.

Industry background

2.17. Personal lines insurance products are taken out by individuals and families and include home and contents, motor vehicle, travel, and pet insurance.

2.18. IAG and RACI (together, the **Parties**) are both underwriters of personal insurance and primarily overlap in the supply of motor vehicle insurance and home and contents insurance. The Parties also overlap in the acquisition of repair services.

2.19. Section 4 of the ACCC's Statement of Reasons sets out the industry background in detail.[2] This includes details on the regulatory framework for personal lines insurance products, how personal lines insurance products are distributed, personal lines insurance suppliers, and how personal lines insurers compete.

2.20. In addition to that industry background, the below sets out a brief overview of insurers' approaches to community engagement and investment in Australia, and more specifically, Western Australia.

Community engagement and investment in Western Australia

2.21. The ACCC understands that all personal lines insurers operating in Western Australia conduct activities that deliver benefits to Western Australian communities beyond the supply of insurance products. These activities, as described below, fall broadly into the following categories:

- **Road safety and injury prevention**: driver education, road trauma reduction, safer vehicles and community road safety initiatives.
- **Natural disaster resilience**: flood, bushfire, cyclone and storm preparedness, mitigation, recovery and community resilience.
- **Community investment**: grants, sponsorships, charitable partnerships and programs supporting local communities.
- **Research, education and advocacy**: initiatives aimed at reducing property damage, vehicle accidents, insurance risks and community vulnerability.

2.22. While some of the activities are Western Australian-specific, most of the activities carried out by insurers are broader national initiatives that can have benefits in Western Australia. It should also be noted that insurers' investment in community programs may often provide benefits for insurers, as some community initiatives could reduce claims (for example, road safety initiatives), and are used as marketing and brand perception opportunities.

3. Overview of IAG's Public benefit application

3.1. On 13 October 2026, IAG lodged a public benefit application in respect of the Acquisition.

Claimed public benefits

3.2. The Parties submit that the Acquisition will deliver the following four categories of public benefits:[3]

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[2] ACCC, *Phase 2 Determination – Statement of Reasons*, 22 September 2026, Section 4.

[3] For ease of discussion, the ACCC separated the Parties' third public benefit category (reduced regulatory costs/burden and community investment), into two separate claimed benefits.

- benefits to RACI and IAG, their policyholders, RAC members and IAG shareholders through substantial productive efficiencies and the elimination of duplicated costs by leveraging IAG's existing capabilities
- benefits to RACI policyholders and the general public from enhancing the financial and prudential resilience of RACI by integrating into an ASX listed, diversified national insurance organisation
- benefits for RAC members and the broader Western Australian community, including:
    - enhancing investment in community and members, from RAC being able to focus on its core activities and use the proceeds from the sale to invest and expand on its community initiatives without the cost and risk associated with underwriting the insurance business, and
    - long-term investment in the safety and resilience of Western Australian communities by IAG's investment in Western Australia, including:
        - enhancing road safety through access to a package of IAG's initiatives tailored for Western Australia
        - strengthening community resilience to natural hazards through expanded disaster preparedness, mitigation and recovery initiatives
        - supporting skills development, workforce capability and innovation across Western Australia through targeted funding, training and industry partnerships, and
        - accelerating innovation and the transition to a more sustainable future through investment in emerging technologies such as electric vehicles, and
- benefits for RACI policyholders through access to broader claims handling, major natural peril event response, improved technology and other capabilities that IAG offers as a larger insurer with access to greater resources.[4]

3.3. The Parties also submit that the public detriments are the competitive detriments – being a substantial lessening of competition in the markets for the supply of motor vehicle insurance and home and contents insurance in Western Australia. While the Parties do not accept the ACCC's assessment that the Acquisition is likely to result in a substantial lessening of competition, the Parties submit that, to the extent the Acquisition does give rise to any substantial lessening of competition, the resulting public detriment is limited and offset by the benefits.[5]

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4 IAG, *Public Benefit Application – Accompanying submission to application*, 13 October 2026, pp. 8-9.

5 IAG, *Public Benefit Application – Accompanying submission to application*, 13 October 2026, p. 7.

Remedy offer

3.4. IAG's public benefit application was accompanied by a remedy offer. IAG proposes to provide a section 87B undertaking for the term of 10 years (the **Proposed Undertaking**). The key commitments include:

- **Sale of renewal rights:** IAG must sell to an ACCC-approved purchaser the 'renewal rights' in respect of the active NRMA home and motor insurance book in Western Australia and, at the option of the purchaser, the SGIO brand and necessary personnel as reasonably required by the purchaser to maintain, operate or conduct effectively the existing NRMA home and motor insurance book in Western Australia.

- **Competitive outcomes:** IAG must comply with key competitiveness, benchmarking, pricing consultation and termination provisions in the Distribution Agreement. Certain key termination rights relating to competitiveness and RAC brand protection, to be held by RAC are brought forward from eight years to three years after commencement of the Distribution Agreement. For the term of the undertaking, IAG cannot amend those protections without ACCC approval, and any amendment must also be made in accordance with the Distribution Agreement, which cannot be amended unilaterally by IAG. Thereafter those provisions, as with all provisions in the Distribution Agreement, may only be amended by agreement between the parties to the Distribution Agreement.

- **Smash repairer access and conduct:** IAG must not impose exclusivity, preferential dealing or other restrictions that could limit competing insurers' access to specified regional Western Australian smash repairers. IAG must also comply with the Motor Vehicle Insurance and Repair Industry Code of Conduct in its dealings with smash repairers in Western Australia.

- **Minimum service standards:** In addition to the protections contained in the Distribution Agreement, IAG must maintain a Western Australian contact centre and use reasonable endeavours to maintain claims service standards for RAC-branded motor vehicle and home insurance in Western Australia.

- **Expanded insurance availability:** IAG must make RAC-branded home and contents insurance available for eligible homes located north of the 26th parallel in mainland Western Australia within 12 months after completion of the Acquisition and maintain that offering for the term of the undertaking.

- **Western Australian Community Fund:** IAG must establish and fund a dedicated Western Australian Community Fund supporting road safety, community resilience, skills development, electric vehicle initiatives and other community programs in Western Australia.

- **Compliance and oversight:** IAG must appoint a Compliance Officer and an ACCC-approved independent auditor to monitor compliance with the

undertaking and provide regular reporting and audit oversight to the ACCC.[6]

3.5. The ACCC's preliminary assessment of the effect of the commitments in the Proposed Undertaking on the public benefits and public detriments is outlined below.

4. Overlap and market definition

4.1. Section 8 of the ACCC's Statement of Reasons explains the overlap and the relevant markets in detail.[7]

4.2. In the Statement of Reasons, the ACCC found that the markets for the purposes of assessing the competitive effects of the Acquisition were likely to be:

- the market for the supply of motor vehicle insurance in Western Australia,
- the market for the supply of home and contents insurance in Western Australia, and
- markets for the acquisition of smash repair services in regions within Western Australia. [8]

4.3. In the public benefit application, the Parties did not provide submissions in respect of market definition.

4.4. The ACCC has also not received any other submissions or information from third parties in respect of market definition.

4.5. The ACCC's preliminary view is that the market definitions set out above are likely to be appropriate for the purposes of considering the impact of the claimed public benefits.

5. Future without the Acquisition

5.1 The ACCC is considering the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the likely future state of competition if the Acquisition does not proceed.

5.2 In the Statement of Reasons, the ACCC found that, in the short to medium term, RACI is likely to continue to compete vigorously in the supply of motor vehicle insurance and home and contents insurance in Western Australia.

5.3 Based on the material before it, including the additional material provided with the public benefit application, the ACCC's preliminary view is that:

- RACI will continue to operate as a stand-alone insurer in the future without the Acquisition because it is a financially stable and profitable insurance business that is appropriately managing its capital position, and

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6 IAG, *Public Benefit Application – Accompanying submission to application*, 13 October 2026, pp. 12-13.

7 ACCC, *Phase 2 Determination – Statement of Reasons*, 22 September 2026, Section 8.

8 ACCC, *Phase 2 Determination – Statement of Reasons*, 22 September 2026, [8.1].

- in the future without the Acquisition, RACI is likely to continue to be a strong competitor in the supply of motor vehicle insurance and home and contents insurance in Western Australia.

6. Summary of public benefits assessment

Preliminary view on public benefits

6.1. The ACCC's preliminary view is that there are likely to be some public benefits from the Acquisition. The ACCC is continuing to assess the nature, timing, magnitude and likelihood of the claimed benefits. The ACCC's preliminary view is that the Parties have likely overstated the magnitude of the benefits and have underestimated the time required for their realisation. The Parties have also identified public benefits that appear unlikely to be specific to the Acquisition.

6.2. The ACCC's preliminary view is that although the Acquisition is likely to result in some productive efficiencies, there is uncertainty about the full magnitude and timing of these efficiencies. The calculations provided by the Parties are likely to overstate the quantum of the benefits as the estimates provided do not compare the likely position with the Acquisition with the likely state without it. Further, it is also unclear whether integration costs and dis-synergies have been netted off.

6.3. The ACCC accepts that the Acquisition would enhance RACI's financial stability and provide access to a larger reinsurance program, reducing the probability of a need for capital injections from RAC or government assistance in the event of a catastrophic event or series of major incidents in Western Australia that RACI is unable to cover. However, the ACCC's preliminary view is that this is not a significant public benefit given the low probability of such events occurring, and RACI's strong existing reinsurance and capital position.

6.4. The ACCC also accepts that incorporating RACI into IAG would likely generate some regulatory compliance cost savings. However, the Parties have not provided sufficient detail about those savings, and RACI is likely to continue to manage its compliance costs and remain competitive without the Acquisition. The ACCC's preliminary view is that these benefits are therefore unlikely to be significant.

6.5. In relation to community investment, the ACCC's preliminary view is that any increase in funds available to RAC as a result of the Acquisition to use in investing in community programs is unlikely to constitute a significant public benefit because RAC currently funds a number of activities and programs and is likely to continue to do so in the future without the Acquisition. Further, the ACCC's preliminary view is that the commitments from IAG are unlikely to constitute a significant public benefit because IAG also currently funds community investment activities and is likely to continue to do so in the future without the Acquisition.

6.6. While the ACCC accepts the Acquisition will likely result in some operational benefits, these are likely to be small. The ACCC also considers that

technology benefits are uncertain in magnitude and timing. Finally, extending RAC-branded insurance north of the 26th parallel is unlikely to result in a significant benefit given that IAG already operates there, so there is no increase in competition, and any bundling benefits for prospective customers are also unlikely to be significant.

Preliminary view on public detriments

6.7. The ACCC's preliminary view is that the Acquisition is likely to result in material public detriments through the effect or likely effect of substantially lessening competition in markets for the supply of motor vehicle insurance and home and contents insurance in Western Australia. The Parties' further submissions do not alter the ACCC's conclusions that the remaining insurers are unlikely to sufficiently constrain the merged entity and that the Distribution Agreement is unlikely to replace the competitive discipline arising from independent rivalry between IAG and RACI.

6.8. The ACCC's preliminary view is that the Proposed Undertaking, in its current form, is unlikely to address these competitive detriments. The proposed sale of renewal rights has material execution risk, uncertain customer retention and inadequate post-sale protections, limiting confidence that it would establish or strengthen an independent provider capable of providing an enduring competitive constraint. The optional transfer of the SGIO brand and the behavioural commitments do not materially change this assessment.

6.9. The ACCC also considers that there are competitive detriments in certain smash repair markets through the potential reservation of excess repair capacity and the exercise of increased buyer power. The access and conduct commitments in the Proposed Undertaking do not address this sufficiently as they do not replicate the competition between IAG and RACI as independent purchasers of repair services.

Preliminary view on weighing benefits and detriments

6.10. As set out in the Merger Assessment Guidelines, in assessing whether there is a net public benefit, the ACCC assesses the magnitude of any lessening of competition and any other detriments to the public likely to result from the acquisition, the magnitude of the public benefits likely to result from the acquisition, and weighs the detriments against the benefits.[9]

6.11. In weighing the benefits and detriments, the ACCC may place less weight on those that are less likely to occur, those for which the evidence is less strong, and those that may not be realised for some time.

6.12. The Parties submit that the detriments rest on predictions about RACI's conduct in the foreseeable future which are evidenced by quantitative analysis that the ACCC did not give significant weight to, while the benefits recur over 20 years, are quantifiable and are either contractual or within IAG's control.[10] The Parties also submit that substantially the same people bear the

[9] ACCC, *Merger assessment guidelines*, June 2025, p. 47.

[10] IAG, *Public Benefit Application – Accompanying submission to application*, 13 October 2026, pp. 133-134.

detriment and accrue the benefits.[11] The Parties submit that, having regard to the nature of the benefits – their magnitude, certainty and timing and the range of the public that will receive them, and balancing that against the potential for relatively modest if any price increases from any substantial lessening of competition, the Acquisition results in a net benefit.[12]

6.13. Based on the information before it, the ACCC's preliminary view is that the public benefits that could result, or be likely to result, from the Acquisition are principally productive efficiencies, together with some benefits from enhanced financial resilience, regulatory compliance savings, community investment and access to IAG's operational and technological capabilities.

6.14. The ACCC considers the productive efficiencies are likely to be merger-specific benefits, but does not consider the magnitude and timing have been established by the Parties. It is unclear at this stage whether integration costs and the Proposed Undertaking have been taken into account in the calculations of these efficiencies.

6.15. Based on the information provided to date, the ACCC notes the majority of productive efficiencies are fixed cost savings. While these have been recognised as public benefits by the Tribunal even if they are retained by the merged entity, benefits that are not passed on to policyholders will not be given significant weight. The ACCC considers that the extent of any pass-through of marginal cost savings is uncertain given the likely reduction in competition.

6.16. While the ACCC recognises that a combined IAG-RACI would be more financially and prudentially resilient than RACI alone, such that it would be able to pay out claims (and not rely on government support) if exposed to multiple significant events or a large catastrophic event, the ACCC's preliminary view is that this is not a significant public benefit given the low probability of such events occurring, and RACI's strong existing reinsurance and capital position.

6.17. The ACCC also considers that compliance savings, community investment and technological improvements are unlikely to constitute a significant public benefit, given the uncertainty about their magnitude, merger specificity and/or timing. Geographic expansion of the RACI brand and associated bundling benefits for customers are also unlikely to lead to a significant public benefit.

6.18. The Proposed Undertaking may provide greater certainty of delivery for some public benefits, but does not materially increase their magnitude or connection to the Acquisition.

6.19. Against the public benefits, the ACCC has to balance the detriment to the public. The ACCC's preliminary view is that the public detriments that could result, or be likely to result, from the Acquisition are material competitive detriments from the substantial lessening of competition in the supply of motor vehicle insurance and the substantial lessening of competition in the supply of home and contents insurance in Western Australia, and additional

[11] IAG, *Public Benefit Application – Accompanying submission to application*, 13 October 2026, pp. 133-134.

[12] IAG, *Public Benefit Application – Accompanying submission to application*, 13 October 2026, p. 134.

competitive detriments in smash repair markets from reserving excess repair capacity and exercising increased buyer power.

6.20. The ACCC considers the detriments in the two relevant insurance markets, reflecting the loss of independent rivalry and the insufficient constraint from remaining insurers, are significant. The ACCC also takes the smash repair detriments into account, while recognising that the evidence did not establish a likely substantial lessening of competition in those markets.

6.21. The Parties' submissions about the likely timeframe for the detriments and that the ACCC's findings are focused on the price effects of the Acquisition are not a correct characterisation of the findings in the Statement of Reasons. As set out in the Statement of Reasons, the ACCC found that the Acquisition would be likely to substantially lessen competition in the Western Australian markets for the supply of motor vehicle insurance and home and contents insurance on the basis that it would likely lead to higher premiums, reduced product quality or coverage, poorer service and reduced customer choice relative to the counterfactual. These findings were based on significant amounts of qualitative evidence as well as the ACCC's quantitative assessment of potential pricing effects. Further, the impact of the detriments is a long term effect – in the absence of the Acquisition, RACI would be an independent competitor to IAG, under RAC Group ownership in the short to medium term.

6.22. In its current form, the ACCC's preliminary view is that the Proposed Undertaking does not provide a sufficient basis to materially discount these detriments. At this stage, the remedy is unlikely to replicate or replace the competitive constraint that IAG brings to the markets such that there is no longer a substantial lessening of competition in the two relevant insurance markets (i.e., remedying what is lost from the Acquisition).

6.23. Based on the material before it, the ACCC's preliminary view is that there is unlikely to be a net public benefit from the Acquisition as the public benefits are likely to be outweighed by the detriment to the public. The ACCC's preliminary view includes the ACCC's consideration of the Proposed Undertaking.

6.24. The ACCC is continuing to consider the public benefits and public detriments.

7. Next steps

7.1. Following the release of the PBA, and consistent with section 51ABZZB of the Act, the notifying party IAG has an opportunity to respond to the preliminary issues identified in the PBA by 1 December 2026.

7.2. Under the current statutory timeframe, the ACCC must issue a determination in response to the Acquisition by 1 February 2027.